

WHITEPAPER

Nexus Credit Passport

A Portable, Business-Owned Credit Identity for India's ₹27.5 Lakh Crore MSME Financing Gap

Market Analysis · Competitive Landscape · Product Architecture · Go-to-Market Strategy

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EXECUTIVE SUMMARY

Building the Trust Layer Above India's Credit Rails

India has spent the last decade building the world's most advanced public digital-finance infrastructure: UPI for payments, GSTN for tax, and — most relevant here — the Account Aggregator (AA) framework for consent-based financial data sharing. That infrastructure is live, regulated, and already moving data for hundreds of millions of accounts. Yet the ₹25–30 lakh crore (roughly USD 300–330 billion) MSME credit gap has barely moved, because the pipes were never the bottleneck. The bottleneck is that every existing player who touches this data builds it as infrastructure for lenders, not as an asset the business itself owns, understands, and can reuse.

Nexus Credit Passport is a portable, continuously updated credit and financial-health identity that a business owns outright and can present — in full or selectively — to banks, NBFCs, suppliers, insurers, marketplaces, and tender authorities. It is built on top of the existing AA/OCEN rails rather than in competition with them, which means the defensible product is not the data pipe (that already exists and is regulated infrastructure) but the normalization engine, the explainable scoring layer, and — most importantly — the ownership model.

This whitepaper lays out the market forces that created this opening, sizes the economic opportunity, maps the competitive field in detail, and specifies how Nexus is architected to win a wedge the incumbents structurally cannot serve without cannibalizing their own lender-first business models.

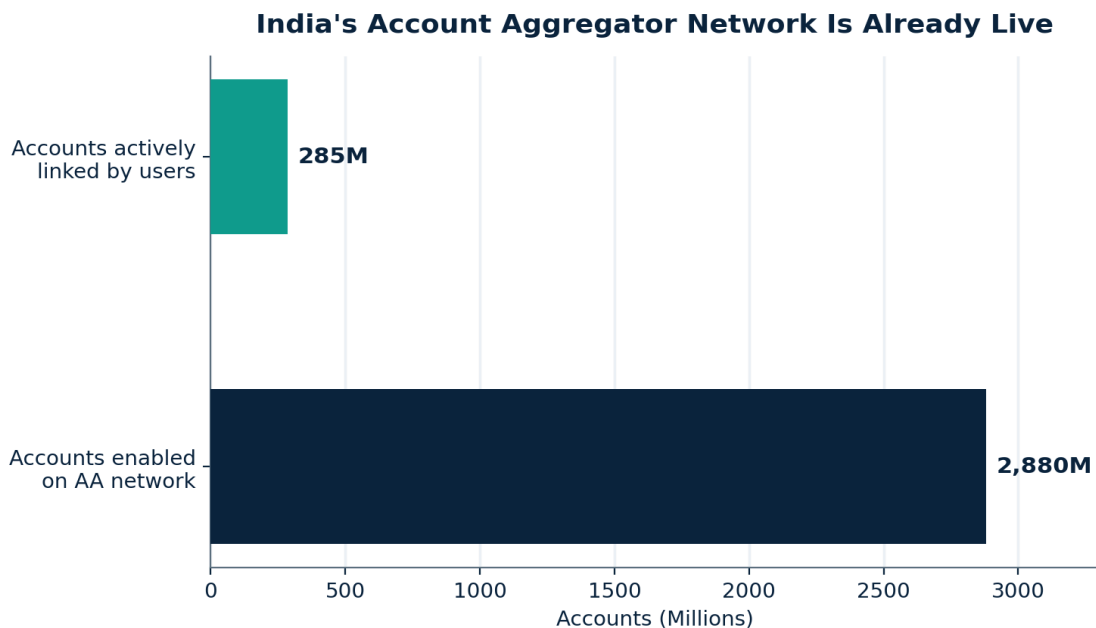
CHAPTER 1

Market Context — The Disruption Underway

Three separate infrastructure build-outs converged to make a product like Nexus possible in 2026 in a way it simply was not in 2019.

1.1 The India Stack matured from payments into data

UPI solved movement of money. Aadhaar e-KYC solved identity verification. But the third leg — movement of financial data with consent — was missing until the Account Aggregator framework went live and started scaling. The AA network is now a functioning, RBI-licensed system with seventeen registered Account Aggregators moving encrypted data between banks, mutual funds, insurers, pension providers, and GSTN itself, all on explicit, revocable, time-bound consent. As of March 2026, more than 2.88 billion financial accounts are enabled to share data through the network, with 284.6 million already linked and actively used by consumers and businesses.



Source: Sahamati AA network statistics, March 2026

Figure 1.1 — The Account Aggregator network is not a pilot; it is live, national-scale infrastructure. Source: Sahamati, March 2026.

1.2 Lending shifted from collateral to cash flow

Layered on top of AA is OCEN — the Open Credit Enablement Network — which is explicitly designed to let lenders extend credit based on verified, real-time cash flows rather than physical collateral or years of relationship banking. This is the regulatory and technical scaffolding for flow-based lending at scale, aimed squarely at the MSMEs and gig workers who have historically been excluded from formal credit because they had no fixed assets to pledge.

1.3 Digitization of the MSME's own operations

Independently of banking-sector infrastructure, the operational surface of a small business has also gone digital: GST filings, UPI collections, Razorpay/Stripe settlement data, Tally and Zoho Books ledgers, and Amazon/Flipkart seller dashboards. Every one of these systems already holds a live, granular picture of how a business is actually performing — long before that business ever fills out a loan application. The disruption is not that this data exists; it is that no single, business-owned layer stitches it together into something portable and comprehensible.

1.4 Why this creates an opening now, not five years ago

- The AA network only crossed meaningful linked-account scale in 2024–2026 — before that, integration required slow, insecure-looking custom OAuth flows with individual banks.
- RBI's Unified Lending Interface (ULI), India's attempt at a "UPI for credit," is actively rolling out and pushing the market toward standardized, API-first credit assessment.
- Regulatory pressure (RBI's 2022 Digital Lending Guidelines, 14-working-day decision mandates for small MSE loans) is forcing lenders to want structured, pre-verified data rather than PDFs.
- MSME formalization is accelerating — the Udyam Assist Platform is pulling previously informal micro-enterprises into the visible economy, creating a wave of new, digitally-native businesses with no legacy credit history but plenty of digital exhaust.

CHAPTER 2

The Economics — Sizing the Opportunity

The credit gap is not a rounding error. It is one of the largest unresolved financing gaps in any large economy in the world.

2.1 The headline number

India's roughly 7.34 crore MSMEs generate an estimated ₹69.3 lakh crore in addressable credit demand. Formal institutional supply — banks and regulated financial institutions combined — covers only around ₹40–45 lakh crore of that. The result, corroborated independently by SIDBI-CRISIL (2025) and Deloitte (March 2025), is a persistent unmet credit gap in the range of ₹25–30 lakh crore, or roughly USD 300–330 billion at prevailing exchange rates — comparable in size to the GDP of a mid-sized country.

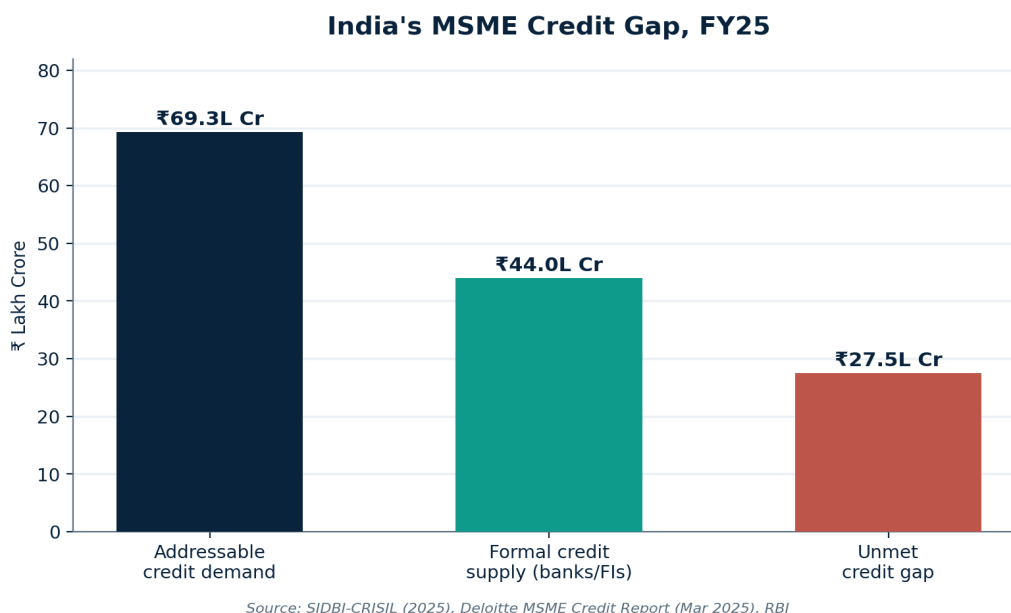
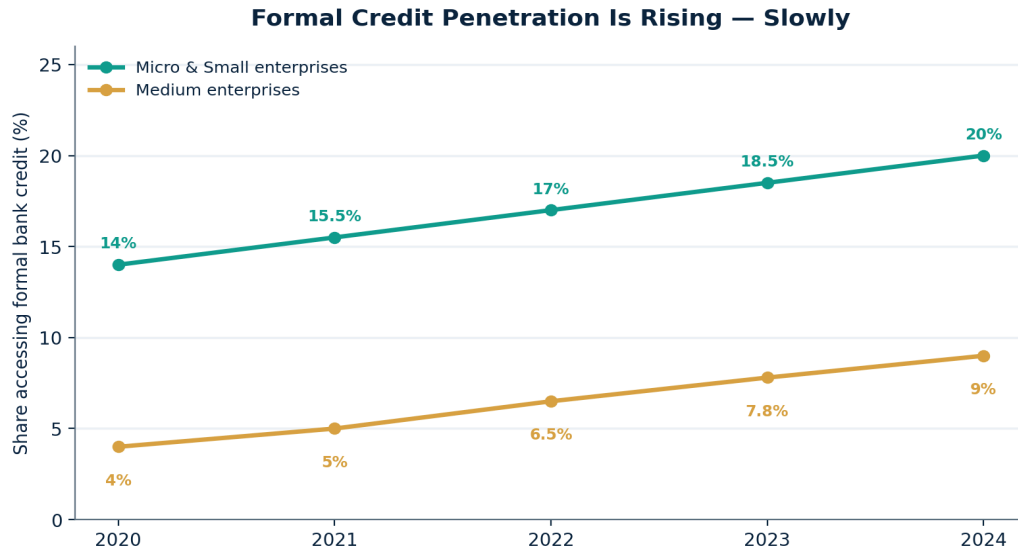


Figure 2.1 — Demand, formal supply, and the resulting gap, FY25.

2.2 Formal credit penetration is improving, but slowly

Between 2020 and 2024, the share of micro and small enterprises accessing credit through scheduled banks rose from 14% to 20%, and medium enterprises from 4% to 9% — real progress, but nowhere near the rate needed to close a ₹27+ lakh crore gap within a policy-relevant

timeframe. At this trajectory, tens of millions of creditworthy businesses will remain outside formal finance for years, not quarters.

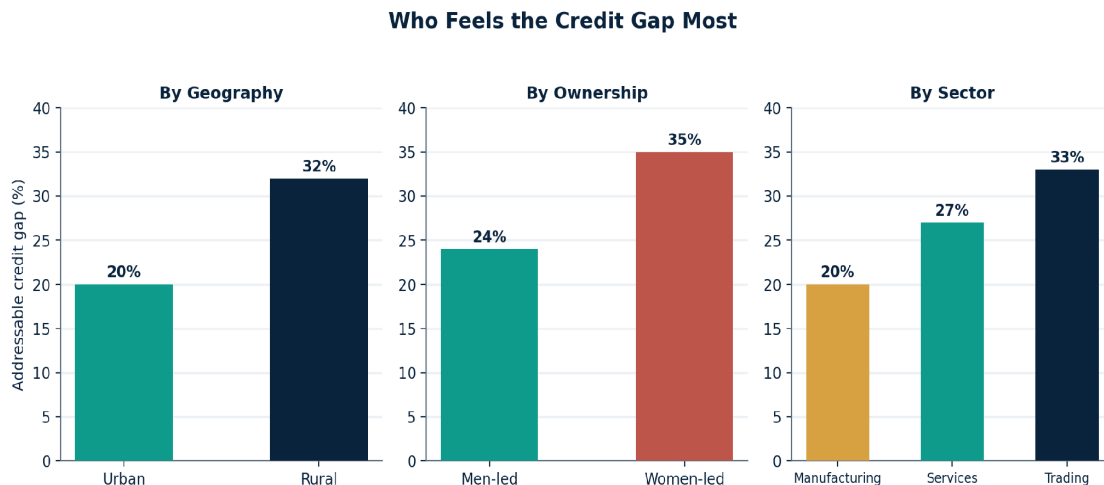


Source: NITI Aayog, "Enhancing Competitiveness of MSMEs in India" (2025)

Figure 2.2 — Formal credit access is trending up, but from a very low base.

2.3 The gap is not evenly distributed

Averages hide where the real product opportunity sits. Rural enterprises face a 32% addressable credit gap versus 20% in urban areas. Women-led businesses — 26.2% of proprietary MSMEs — face a 35% gap versus 24% for men-led businesses, despite comparable digital-payment readiness. And by sector, trading businesses (33% gap) are worse off than services (27%) and manufacturing (20%), largely because trading businesses have thinner physical asset bases to collateralize against.



Source: SIDBI-CRISIL MSME Credit Gap Report (2025)

Figure 2.3 — The credit gap concentrates in rural, women-led, and trading businesses — precisely the segments with the least legacy documentation and the most to gain from a portable digital credit identity.

2.4 The addressable software/fintech market wrapped around this gap

India's fintech market is valued at roughly USD 51–59 billion in 2026 and is projected to grow at a 16%+ CAGR through 2031, with digital lending and credit-adjacent services consistently cited as the largest or fastest-growing segment. SME-focused digital lending specifically is forecast to grow at a 16%+ CAGR, reaching an estimated USD 246 billion in addressable platform revenue by 2031 globally, with India as one of the fastest-growing single markets in Asia-Pacific.

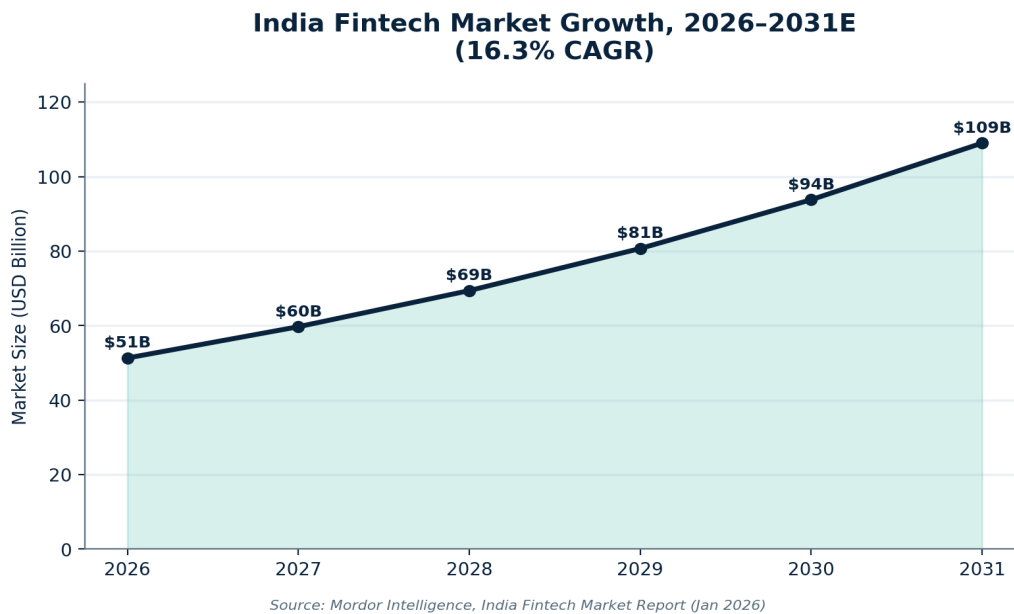


Figure 2.4 — India fintech market size, 2026–2031E. Digital lending and credit infrastructure are consistently the largest sub-segment. [CHAPTER 3](#)

The Rails Already Exist — And That Changes the Build

The single most important strategic fact for anyone building in this space is that India does not need another company to build bank connectivity. The Account Aggregator framework is a data-blind consent pipe: it moves encrypted financial data between Financial Information Providers (banks, mutual funds, insurers, pension funds, GSTN) and Financial Information Users, on explicit consent, without the AA itself ever being able to see, store, or process the underlying data. Seventeen

licensed AAs — including Setu, Perfios' Anumati, OneMoney, and FinVu — already operate this pipe in production.

What this means for anyone building a credit-data product in India

- Do not build custom OAuth integrations bank-by-bank — that duplicates regulated infrastructure, is slower to ship, and reads as less trustworthy to regulators and enterprise buyers alike.
- Integrate as a Financial Information User (FIU) through an existing licensed AA — a 15-second consent flow can pull real-time data from a major bank rather than requiring a PDF statement upload.
- Reserve engineering effort for the layer that is genuinely unregulated and unbuilt: normalizing heterogeneous data into one coherent financial graph, scoring it, explaining the score, and — critically — deciding who owns and controls that output.

The layer nobody has built

AA and OCEN solve movement and creditworthiness assessment at the point of a loan application. Neither framework addresses what happens to that verified financial picture between applications — today it is recomputed from scratch, by a different vendor, for every lender a business approaches. That statelessness, not data access, is the actual gap this report is built around.

CHAPTER 4

The Competitive Landscape — How Others Are Trying to Fix This

This space is not empty. It is crowded with well-capitalized, deeply networked infrastructure players — all pointed at the same problem from the opposite direction.

4.1 The incumbents

Player	Core Offering	Who They Sell To	Structural Limitation
Perfios (incl. Karza / Anumati)	RBI-licensed AA + full lending decisioning suite; deep bank-statement and GST parsing	Lenders (banks, NBFCs)	Score/report is generated per lender request; business has no persistent, portable copy
FinBox	End-to-end digital lending infra: aggregation, risk scoring, loan ops, embedded BNPL/MSME rails	Lenders & embedded-finance platforms	Optimized for the lender's underwriting funnel, not the borrower's reusable identity
Setu	AA infrastructure + developer APIs for credit, KYC, payments	Fintechs & lenders building on top	Deliberately a pipe/toolkit, not a consumer- or business-facing product
CRIF / Jocata / M2P / TurnKey Lender	Bureau data, underwriting workflow, decisioning software	Banks & NBFCs	Legacy bureau-style model: static rep pulled at application time, not a living asset
Traditional bureaus (CIBIL, Experian, CRIF Highmark)	Credit score based on repayment history	Lenders (business can view, rarely act on or export)	Purely retrospective repayment history; ignores cash-flow, GST, and e-commerce signals entirely

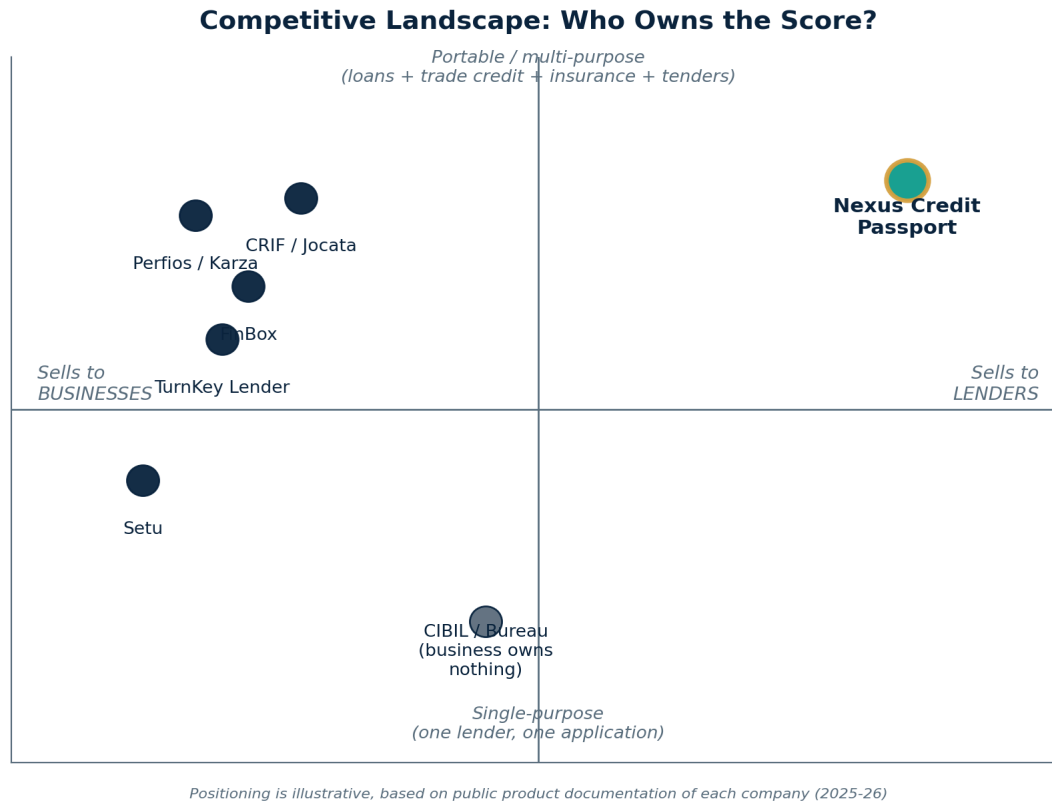


Figure 4.1 — Every established player clusters in the lower-left: sells to lenders, single-purpose. The open quadrant is upper-right: business-owned, multi-purpose.

4.2 The pattern across all of them

Every one of these companies — from the biggest (Perfios) to the most developer-focused (Setu) — is fundamentally B2B(lender) infrastructure. Their business model depends on lenders paying for access to borrower data and decisioning tools. None of them are structurally incentivized to hand the business a portable, reusable version of its own score, because doing so would let that business shop the same verified profile across competing lenders — undermining the exclusivity each incumbent currently sells to its bank and NBFC customers.

CHAPTER 5

Where the Real Gap Is

The white space is not "build the data pipes" — they exist, are regulated, and are already integrated by every serious competitor. The white space is flipping who owns and benefits from the resulting profile: from the lender's underwriting system to the business's own portable asset.

5.1 What "business-owned" actually has to mean in practice

- Portable and multi-purpose — usable for trade credit from suppliers, RFP/tender eligibility, insurance underwriting, and marketplace seller financing, not just bank loans.
- Live and subscription-based — a dashboard a business checks monthly, the way a consumer checks a CIBIL score app, not something recomputed from zero at each application.
- Reverse-marketplace-capable — lenders bid for the business's loan using the Passport as the pitch, instead of the business shopping manually between lenders.
- Annotatable — the business can explain anomalies the AI cannot see ("revenue dipped because of a planned factory relocation"), a context layer no existing scoring engine offers.
- Embedded at the point of need — a widget inside the GST portal, Tally, or an e-commerce seller dashboard, not a separate destination app the business has to remember to visit.

5.2 The wedge: trade credit before loans

Lenders are high-CAC, compliance-heavy customers to acquire first. Suppliers and vendors extending 30–60 day trade credit are a dramatically lower-friction initial use case for the same underlying Passport — and every successful trade-credit decision made on Nexus data both proves the model and deepens the data moat before the company ever touches regulated lending directly.

CHAPTER 6

The Solution — Nexus Credit Passport

A single, living financial identity that a business owns, understands, and carries with it across every credit relationship it will ever have.

6.1 Product definition

Nexus Credit Passport is a continuously updated, explainable financial health profile generated from a business's bank, GST, payment-gateway, and accounting data, owned and controlled by the business itself. It is shared selectively and revocably — in full or in part — with lenders, suppliers, insurers, and marketplaces, replacing a fresh, opaque underwriting process each time with one live, portable source of truth.

6.2 System architecture

Layer	Function	Build Approach
Consent & Ingestion (AA)	Pull bank, investment, and GST data on real-time, revocable consent	Integrate as an FIU via a licensed AA — Setu, Perfios' Anumati, OneMoney, or FinVu
Non-AA Data Ingestion	Payment gateway, e-commerce, and accounting data outside the AA scope	Direct API integrations — Razorpay/Stripe, Shopify/Amazon SP-API, Tally/Zoho Books
Normalization / Financial Graph	Unify all sources into one coherent, queryable model	Proprietary engine — this is the company's core defensible IP
Scoring & Passport Generation	Health score, cash-flow forecast, anomaly detection, explainability	XGBoost/CatBoost models with SHAP-based explainability
Distribution	Business shares the Passport with counterparties	Time-limited, revocable API and shareable-link access, owned entirely by the business

6.3 End-to-end flow

- A business signs up and links its bank accounts and GST filings through an AA consent flow — typically under 15 seconds for major banks — and separately connects Razorpay, Tally, or Amazon Seller Central.

- Nexus normalizes every source into one financial graph, refreshed continuously rather than recomputed per application.
- The scoring engine generates the Passport: a health score, an explainability breakdown (what is driving the score up or down), and a forward-looking cash-flow forecast.
- The business shares the Passport with one or many counterparties — lenders, suppliers, insurers — via a revocable link or API, so every recipient sees a live snapshot rather than a static PDF.
- A lender can either underwrite directly against the Passport or plug into OCEN as a Loan Service Provider, using the Passport as structured credit input.

CHAPTER 7

USP & Differentiation

7.1 Head-to-head comparison7.2 Why this is defensible, not just different

The moat is not the AA integration — any competitor can integrate the same licensed AAs Nexus does. The moat is the compounding value of a continuously updated financial graph that becomes more valuable to the business itself the longer it stays, and the switching cost of rebuilding that history elsewhere. A business that has used its Passport across three lenders, two suppliers, and one insurance renewal loses real, demonstrable value if it starts over on a competitor's platform — the mirror image of how a strong credit bureau file becomes stickier the longer it exists, except here the business, not a third party, is the one who benefits from staying.

CHAPTER 8

Business Model & Monetization

8.1 Revenue streams

Stream	Description	Payer
Passport subscription	Monthly fee for a live, continuously updated financial health dashboard	Business (MSME)
Lender distribution fee	Per-pull or success-fee when a lender underwrites using a shared Passport	Lender / NBFC
Reverse marketplace lead-gen	Fee for connecting a business to competing lenders bidding on its Passport	Lender / NBFC
Trade credit facilitation	Small transaction fee when a supplier extends credit based on a shared Passport	Supplier or platform
Embedded widget licensing	White-labeled Passport widget inside GST portals, Tally, or e-commerce dashboards	Platform partner

8.2 Why a freemium-to-business, paid-by-lender hybrid works here

MSMEs are price-sensitive and hard to charge directly at volume, but they are the asset that makes the product valuable — so the core Passport should be free or near-free to the business, funded by the much higher willingness-to-pay of lenders, suppliers, and platforms who gain faster, better-qualified access to creditworthy businesses. This mirrors how LinkedIn is free to individual users but monetized through recruiters, and how Plaid is free to end consumers but monetized through the fintechs that need their data.

CHAPTER 9

Go-to-Market & Roadmap

9.1 Sequencing — why trade credit first, lending second

Lenders are slow, compliance-heavy, high-CAC customers to acquire as a first wedge — every regulated financial institution wants proof of scale and reliability before integrating. Suppliers extending trade credit have none of that friction and feel acute daily pain from manual credit decisions. Landing there first builds transaction volume, proves the scoring model, and creates a live reference base to bring to lenders on much stronger footing.

9.2 Phased roadmap

Phase	Focus	Milestone
Phase 1 (0–3 months)	Sandbox build	AA sandbox (Setu) integration live; GST + Razorpay/Tally connectors; scoring model v1 on public MSME proxy data
Phase 2 (3–6 months)	Trade-credit pilot	10–20 supplier/distributor relationships piloting Passport-based credit terms with real MSME data
Phase 3 (6–12 months)	Lender integration	First 2–3 NBFC/bank partners underwriting directly against the Passport or via OCEN as LSP
Phase 4 (12–18 months)	Embedded distribution	Widget partnerships inside GST-adjacent tools, accounting software, and e-commerce seller dashboards
Phase 5 (18+ months)	Reverse marketplace	Multiple lenders bidding on shared Passports; insurance and tender-eligibility use cases live

9.3 Demoable stack for early validation

A credible, investor- and lender-facing demo does not require the full production stack. Next.js + Tailwind + Recharts on the frontend; Node or FastAPI on the backend; Postgres for storage; Setu's or Perfios' AA sandbox for a real (not mocked) consent flow; GSTN sandbox or synthetic invoice data for tax data; and an XGBoost model with SHAP explainability trained on public MSME/lending proxy datasets is enough to produce a genuinely working, sandbox-real demonstration within weeks, hosted on Vercel and Render/Railway without any Kubernetes or Kafka overhead at this stage.

CHAPTER 10

Regulatory Considerations & Risks

10.1 Regulatory positioning

Generating and sharing credit scores derived from AA data most likely places Nexus in the Financial Information User (FIU) category under the AA framework, and — depending on how directly the product participates in loan origination — potentially as a Loan Service Provider (LSP) under OCEN. Neither requires a full NBFC-AA license, since Nexus is a consumer/re-packager of AA data rather than the pipe itself, which is a meaningfully lighter regulatory lift than becoming a licensed Account Aggregator outright. A formal compliance consultation is a prerequisite before any production data handling, not an afterthought.

10.2 Key risks

Risk	Mitigation
Incumbents add a "portable score" feature to defend share	Move fast on the trade-credit wedge where incumbents have zero presence; make switching costly via accumulated history
MSMEs are slow to adopt a new financial habit	Embed at the point of existing behavior (GST portal, Tally, WhatsApp) rather than asking for a new destination app
Data-sharing and algorithmic scoring draw regulatory scrutiny	Build to RBI's 2022 Digital Lending Guidelines from day one; full auditability and explainability by design
Lenders are reluctant to trust a third-party score	Lead with explainability (SHAP) and offer direct AA/OCEN-based verification alongside the Passport, not instead of it
Thin initial data history undermines score credibility	Blend AA-sourced financial data with GST and payment-gateway signals from day one, rather than relying on banking history alone

CONCLUSION

The Opportunity in One Page

India built the pipes. Nobody has yet built the thing businesses actually own and carry with them. Every major competitor in this space — Perfios, FinBox, CRIF, the traditional bureaus — sells a version of this data to lenders, structurally unable to hand the business a reusable, portable copy of its own financial identity without undermining their core customer relationship.

Nexus Credit Passport does not need to out-build the AA network or out-integrate Setu's connectors — that infrastructure is public, regulated, and already accessible to anyone who wants to build on it. What it needs to do is win the one thing none of the incumbents can offer without cannibalizing themselves: giving the ₹27.5 lakh crore worth of underserved MSMEs a financial identity they own, understand, and can take with them into every conversation about credit they will ever have.

— End of report —